

Playbook: Assignment and Change of Control

NORTHWIND SYSTEMS LEGAL PLAYBOOK ## SECTION 14: ASSIGNMENT AND CHANGE OF CONTROL

14.1 Preferred Position (Model Clause Language)

14.1.1 Neither Party may assign, delegate, sub-contract, or otherwise transfer this Agreement or any of its rights or obligations hereunder, whether voluntarily, involuntarily, by operation of law, or otherwise, without the prior written consent of the non-assigning Party, such consent not to be unreasonably withheld, delayed, or conditioned. Any attempted assignment or transfer in violation of this Section 14.1.1 shall be null and void **ab initio**.

14.1.2 For purposes of this Section 14, a "Change of Control" shall be deemed to include: (a) the direct or indirect acquisition of more than fifty percent (50%) of the voting securities or equity interests of a Party; (b) the merger, consolidation, or reorganization of a Party with or into another entity where the shareholders of the Party immediately prior to such transaction own less than fifty percent (50%) of the surviving entity; or (c) the sale, lease, or transfer of all or substantially all of the assets of a Party.

14.1.3 Notwithstanding Section 14.1.1, Northwind Systems may assign this Agreement, without the Customer's consent, to: (a) any corporate affiliate under common control with Northwind Systems; or (b) any successor-in-interest resulting from a merger, reorganization, corporate restructuring, or sale of all or substantially all of Northwind Systems' assets or stock, provided that the assignee assumes all obligations of Northwind Systems hereunder in writing.

14.1.4 Customer shall provide Northwind Systems with written notice of any permitted or proposed Change of Control or assignment within forty-five (45) calendar days prior to the effective date of such transaction.

14.2 Fallback Position

14.2.1 If the Customer rejects the preferred position in Section 14.1 and insists on an assignment exemption for corporate reorganizations or acquisitions, the Legal Team is authorized to agree to the following fallback provision:

> "Either Party may assign this Agreement without the other Party's prior written consent to any affiliate or to any successor-in-interest resulting from a merger, acquisition, corporate reorganization, or sale of all or substantially all of its assets or relevant business unit, provided that: (a) the assigning Party provides written notice to the non-assigning Party within thirty (30) calendar days following the closing of such transaction; (b) the assignee is solvent, maintains a credit rating at least equivalent to the assigning Party, and is not a direct commercial competitor of the non-assigning Party; and (c) the assignee expressly assumes, in a written instrument delivered to the non-assigning Party, all of the assigning Party's liabilities and obligations under this Agreement."

14.2.2 For Customer Change of Control transactions where the acquiring entity is a direct competitor of Northwind Systems, Northwind Systems reserves the right to terminate this Agreement upon sixty (60) calendar days' prior written notice, subject to a pro-rata refund of any prepaid, unearned fees calculated from the effective date of termination.

14.3 Walk-Away Position

14.3.1 The Legal Team must reject and walk away from any clause that contains any of the following terms:

- * Unrestricted Assignment to Competitors: Any provision permitting the Customer to assign the contract to a direct competitor of Northwind Systems without prior written consent.
- * Automatic Release without Assumption: Any clause releasing the original Customer from liability post-assignment without an explicit, executed assumption of debt and performance by the assignee.
- * Assignment as a Service-Level Relief Trigger: Any clause permitting the Customer to terminate for convenience, or claim fee reductions, solely on the grounds that Northwind Systems underwent a corporate Change of Control.
- * Unilateral Affiliate Expansion: Language granting the Customer's unnamed global affiliates the right to consume services under the Master Services Agreement without executing a separate participating addendum or paying applicable affiliate fees.

14.4 Numeric and Categorical Thresholds

The following thresholds are mandatory and non-negotiable without specific escalation approval under Section 14.5:

1. Notice Period for Customer Change of Control: Minimum of thirty (30) calendar days post-closing (or forty-five [45] calendar days pre-closing under the preferred position).
2. Northwind Termination Notice Window: Exactly sixty (60) calendar days following notice of an unapproved or competitor Change of Control.
3. Cure Period for Unauthorized Assignment: Exactly fifteen (15) calendar days from the date of written notice by Northwind Systems to cure an unauthorized assignment or operational breach of this Section 14.
4. Monetary Floor for Enterprise Agreement Escalation: Any Customer contract with an Annual Contract Value (ACV) exceeding \$150,000 USD requiring customized Change of Control language must follow escalation protocols.
5. Assignee Net Worth / Revenue Cap: The assignee must demonstrate liquid assets or annual revenue equal to or exceeding two hundred percent (200%) of the remaining contract value under the active Order Form.

14.5 Named Deviations Requiring Escalation

Any contract containing terms outside the preferred or fallback positions must be escalated to the designated internal authority before signature:

1. **Competitor Assignment Waivers:** If a Customer demands the pre-approved right to assign to a named list of market competitors, the clause must be escalated to Arthur Pendelton, VP of Sales, and Sarah Lin, VP of Finance, for commercial risk sign-off.
2. **Waiver of Successor Liability:** If a corporate restructuring clause seeks to release the parent entity from guarantee obligations upon subsidiary assignment, the matter must be escalated to Marcus Vance, Chief Executive Officer.
3. **Extended Cure Windows:** Any request by a Customer to expand the cure period for unauthorized assignment beyond fifteen (15) calendar days to thirty (30) calendar days or more must be escalated to Elena Rostova, General Counsel.

14.6 Worked Examples of Counterparty Language

14.6.1 Acceptable Counterparty Language (Approved for Use)

* Example A (Affiliate & Restructuring carve-out):

> **"Either Party may, without the consent of the other Party, assign this Agreement in its entirety to an affiliate or to a successor entity resulting from a merger, corporate reorganization, or sale of all or substantially all of its assets, provided that the assigning Party provides written notice to the non-assigning Party within thirty (30) days of the transaction, and the assignee assumes all obligations of the assignor in writing."**

Rationale: Matches the core terms of the fallback provision (Section 14.2.1) with standard notice and written assumption requirements.

* Example B (Corporate Asset Sale):

> **"Northwind Systems may assign this Agreement to any purchaser of its business operations relating to this Agreement, provided such purchaser agrees in writing to be bound by all terms hereof. Customer shall not assign this Agreement without Northwind's prior written consent, not to be unreasonably withheld."**

Rationale: Preserves Northwind's restructuring rights while keeping Customer assignment restricted under a reasonableness standard.

14.6.2 Unacceptable Counterparty Language (Mandatory Rejection)

* Example C (Unrestricted Competitor Assignment):

> **"Customer may freely assign, transfer, or sublicense this Agreement, in whole or in part, to any third party, including any direct competitor of Northwind Systems, without notice or consent, and upon such assignment, Customer shall be fully released from all liability hereunder."**

Rationale: Violates walk-away rules regarding competitor assignment, lack of notice, and unconditioned release of liability.

* Example D (Termination for Change of Control):

> **"If Northwind Systems experiences a Change of Control involving any entity other than a top-tier venture capital fund, Customer may immediately terminate this Agreement without penalty and receive a full refund of all prepaid fees for the entire contract term."**

Rationale: Violates walk-away rules by creating a termination-for-convenience right tied to corporate transactions and demanding unearned retroactive refunds.